

5. When one card is paid off, make the same payments on another (resist seeing the extra money as spending money).
6. Refuse the credit card issuer's offer of a minimum payment of zero or to skip a payment for a month.
7. Consolidate cards (make sure to cut up the cards whose balances are now zero).
8. Refinance high-rate credit cards (shop around for the best interest rate).
9. Consider using savings to pay off high-rate credit card balances (only if you already had a three- to six-month emergency savings fund).

Some people, who lack the discipline, need to actually cut up their credit cards so they aren't tempted to continue to use them. A second step is to close the accounts after the cards have been destroyed. Just because the physical card doesn't exist does not mean the account can no longer be used. For example, you can still access your credit card by giving the number over the phone or on the Internet to purchase an item. By closing the accounts, you can no longer use the account regardless of whether the card exists or not.

One Easy Payment

Perla kept getting more and more credit cards to pay her existing accounts. Another option that works along the same principle is to get one large loan and use this money to pay off the other smaller debts. This loan works in theory to "consolidate" debts. The smaller debts are now lumped into one payment instead of spread out among numerous smaller accounts. For Stacey, this approach was viewed as a huge time saver each month when she paid her bills.

Stacey allotted at least two hours monthly to paying her

